MARKETSMITH® INDIA

The CAN SLIM® Playbook:

13 Rules to **Master Growth Investing**

Making money in the stock market is not about luck or guessing which stock will go up next—it requires a clear system that guides what to buy, when to buy, and when to sell to stay disciplined and avoid emotional decisions. Without such a system, investors often rely on tips, headlines, or fear and greed, leading to poor timing and inconsistent results, whereas a structured approach removes confusion and creates a repeatable path to success.

One of the most proven systems is CAN SLIM®, developed by William J. O'Neil after decades of studying the biggest stock market winners. He found that the best-performing companies were not random—they were businesses that changed the way we live, work, and play, driven by powerful long-term growth trends—whether it was technology, consumption, healthcare, or innovation. The entire CAN SLIM® system was built around identifying such companies early, before their biggest moves.

In simple terms, CAN SLIM® is
a framework to identify strong, fast-growing companies that are attracting institutional interest. It combines fundamentals like earnings and sales growth with market behavior such as price strength and demand, which are key traits of future leaders. Beyond just growth numbers, it also focuses on companies with a powerful underlying catalyst—something new that can sustain and drive future growth.

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Why Top Investors Trust CAN SLIM®?

A proven system that has shaped generations of successful investors

CAN SLIM® is trusted by serious growth investors because it is built on the **time-tested investing principles and facts.** The framework converts decades of historical market research into **actionable ratings, charts, and stock lists**, helping investors identify leading growth stocks early while managing risk with disciplined rules.

William J. O'Neil studied **more than 1,000 of the biggest stock market winners over the past century.** The findings showed that the greatest performing stocks shared specific traits: strong earnings growth, industry leadership, institutional demand, and powerful price momentum. CAN SLIM® brings these insights together so investors can apply them consistently.

Many respected investors have successfully used the **CAN SLIM® framework** to build strong track records. Their experiences demonstrate how disciplined growth investing can produce exceptional results.

David Ryan, a three-time U.S. Investing Champion, focused on stocks with explosive earnings growth and strong relative strength, buying them as they broke out of proper bases. Similarly, **Jim Roppel** has spent decades identifying high-quality growth companies with accelerating earnings and industry leadership, staying aligned with long-term winners.

Mike Webster's journey highlights the power of discipline—starting as an individual investor, he achieved remarkable gains by strictly following CAN SLIM® rules, eventually becoming a portfolio manager. **Charles Harris**, another respected portfolio manager, applied the same principles to institutional investing, focusing on early identification of market leaders and disciplined execution.

Investors like **Gil Morales** and **Ross Haber** further demonstrate the adaptability of the framework. Morales emphasized precision in timing and trade management, while Haber applied CAN SLIM® principles to manage high-conviction institutional portfolios. Across all these investors, a common thread stands out—they rely on data, discipline, and a structured process, rather than emotion, to consistently identify and capitalize on market leaders.

Why Market Direction Matters?

75% of Stocks Follow the Direction of the Market - Up or Down.

Market direction is critical because over 75% of stocks move in the same direction as the overall market. Even the strongest stocks struggle in a weak market. As O'Neil emphasized, aligning with the market trend is essential—when the market is in an uptrend, probabilities favor success; in downtrends, capital preservation becomes the priority.

Even the strongest stocks struggle to rise during market downturns. In CAN SLIM® investing, the overall market direction plays a critical role in determining investment success.

The **"M" in CAN SLIM® stands for Market Direction**, highlighting the importance of staying aligned with the broader market trend.

MarketSmith India provides **Market Outlook reports**, which evaluates the health of the market based on index price and volume behavior.

Market phases include,

- Confirmed Uptrend – buy aggressively
- Uptrend Under Pressure – stay cautious and manage risks
- Downtrends – reduce exposure and protect capital
- Rally Attempt – start testing the water with smaller positions

Understanding market direction ensures investors **trade in harmony with the broader market**, significantly increasing the probability of successful investments.

75%
of Stocks Follow the Direction

Market Direction

Why Industry Group Matters?

37%
of a stock's price movement is directly linked to its industry group and

12%
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William J. O'Neil's research found that 37% of a stock's price movement is directly linked to its industry group and an additional 12% to its overall sector. This is why it is crucial to track where strength is concentrated in the market.

MarketSmith India makes this process simple through two powerful lists:

- 197 Industry Groups List
- Key Market Indices List

The platform tracks **197 industry groups** and ranks them based on the price performance of stocks within each group. The top-ranked industries often produce clusters of winning stocks.

In addition, the **Key Indices** list helps you monitor sectoral and thematic trends across the NSE. It shows how different sectors are performing over various timeframes, helping you quickly identify emerging leadership and shifting market themes.

As a general rule, limit the selection to top 40 industry groups or industries where the ranking is improving in recent times.

Why Earnings & Sales Growth Matters?

Top winners showed earnings growth of 25% or more with strong sales growth before their major price advances began.

Strong earnings and sales growth are the foundation of the CAN SLIM® investment strategy. – Strong current quarterly and annual earnings growth with strong sales growth consistently found in the biggest stock market winners before their major advances.

William J. O'Neil's research of over 100 years of market winners showed that the best-performing stocks had explosive earnings and revenue growth before their big price moves. **Institutions invest heavily in companies showing strong and accelerating fundamentals.**

Current Earnings

Annual Earnings

High-quality growth companies also demonstrate **expanding profit margins and strong Return on Equity (ROE)**, indicating operational efficiency and superior capital allocation. Rising margins confirm that earnings growth is not just accounting-driven but backed by real business strength. Similarly, high ROE reflects a company's ability to compound shareholder capital—one of the defining traits of long-term market leaders.

In MarketSmith India, investors can quickly identify such companies using **EPS and SMR Ratings** - these ratings remove emotional biases in analysis and help you focus on objectively strong stocks. The **EPS Rating** combines recent quarterly earnings growth, long-term annual growth, and earnings stability, while the **SMR Rating** evaluates a company's Sales, Margins, and Return on Equity.

As a general rule, focus on companies with **EPS and SMR Ratings of 80 or higher**, as these typically represent businesses with strong and consistent fundamental performance.

Why the "New" Factor Matters?

The New Factor

Every major market winner had something new fueling its growth before it advanced significantly.

In the CAN SLIM® framework, the "N" stands for New, and it is one of the most powerful drivers of a stock's big price move. William J. O'Neil found that almost every major market winner had something new fueling its growth before it advanced significantly.

This "new" factor can take many forms—**a new product, new technology, new management, new business model, or even a new industry trend**. These changes act as catalysts that drive future earnings and sales growth, which in turn attract institutional investors.

Stocks don't move higher just because they are good companies—they move because something is changing and improving. This new development creates excitement, increases demand, and often leads to strong price momentum and leadership.

How to identify the "New" factor

- Companies launching innovative products or services
- Businesses benefiting from new industry trends or themes
- Firms showing recent earnings acceleration
- Stocks hitting new price highs (New Highs = New Demand)

The "new" factor drives future growth. Most big winners had a clear catalyst before their breakout.

Why Leaders Outperform?

Leader vs. Laggard

One of the great paradoxes of the stock market is that what appears "too expensive" often continues to rise, while what looks "cheap" keeps declining.

This is the essence of why leaders outperform laggards. Market leaders are stocks showing superior relative strength, consistently outperforming both the broader market and their industry peers.

The **Relative Strength Rating** helps identify these winners by ranking all the stocks based on price performance. The **Relative Strength Line** compares the stock's price performance with the benchmark index NIFTY 50. A high Relative Strength Rating, along with a rising Relative Strength Line, signals that a stock is outperforming other stocks and is leading the market. These are the names institutions prefer to own, driving sustained price advances.

Another important factor to consider is **overhead supply**. Stocks trading well below their 52-week highs often face selling pressure from investors looking to exit at breakeven, creating resistance. In contrast, true leaders trade near new highs with minimal overhead supply, allowing them to move up more freely.

As a general rule, focus on stocks with an **RS Rating of 80 or higher,** an **RS Line hitting new 52-week highs**, and **limited overhead supply (within ~15% of 52 week highs).**

In growth investing, **strength leads to more strength**—the biggest winners are rarely found at lows, but rather near highs, where demand clearly outweighs supply.

Why Institutional Sponsorship Matters?

Institutional Sponsorship

It takes big demand to push up prices, and by far the biggest source of demand for stocks is institutional investors.

Institutional sponsorship is one of the most powerful forces behind sustained stock market winners. **Institutions like mutual funds hedge funds, insurance, banks and large investors control the majority of market capital**, and their buying power is what drives major price advances.

A stock cannot become a true leader without institutional participation, because only large funds have the capital required to push prices significantly higher over time.
Increasing ownership by quality mutual funds, hedge funds, and professional investors signals confidence in a company's growth prospects. As more institutions accumulate shares, demand steadily overwhelms supply, creating powerful and sustained uptrends.

Beyond price movement, institutions also provide liquidity and stability. Their presence ensures smoother price action and reduces erratic volatility. Stocks with strong institutional backing tend to move in an orderly manner, rather than swinging wildly 10% up or down in a single session.

In MarketSmith India, you can track **the number of institutional funds holding a stock, the shares they own, and how these holdings change quarter over quarter**, giving you clear insight into institutional activity.

In growth investing, **smart money leaves clues**—and by following institutional sponsorship, you align yourself with the real drivers of the market, the investors who truly move stock prices.

What Are Chart Patterns?

90%+
of the Leaders Form a Chart Pattern Before the Move

90%+ of the Leaders Form a Chart Pattern Before the Move

Fundamentals tell you **what to buy**, but technical analysis helps determine **when to buy and sell**. In the O'Neil methodology, technical analysis focuses primarily on price and volume behavior, which reflects the actions of institutional investors.

Price charts provide a visual representation of supply and demand. When institutions accumulate shares, price movements often show recognizable patterns that investors can identify early.

Chart patterns represent **periods where stocks consolidate before making their next major move**. These patterns form as institutions support the stock at a lower price and accumulate shares over time without pushing prices up too quickly.

A crucial fact from William O'Neil's research is that over 90% of the greatest stock market winners formed a recognizable chart pattern before their major price advances. This highlights that price consolidation is not random—it is a necessary preparation phase before institutional-driven breakouts.

MarketSmith India automatically identifies these major chart patterns, making it easier for investors to spot potential opportunities.

Common chart patterns include,

- Cup with Handle
- Cup without Handle
- Double Bottom
- Flat Base
- IPO Base

These patterns represent **healthy corrections and consolidation after prior price advances**, which prepare stocks for their next breakout.

Why Price & Volume Matter?

40%
higher than their 50-day average.

Most past winning stocks broke out of chart patterns with volume at least 40% higher than their 50-day average.

Price and volume remain the cornerstone of growth investing because they expose the **true intentions of institutions—not their narratives, but their actions**. Large players such as mutual funds, hedge funds, and pension managers account for nearly 70% of market activity, and their footprints are etched into price charts through volume behavior.

When a stock advances on heavy volume, it reflects institutional accumulation—strong hands stepping in with conviction. On the other hand, sharp declines on elevated volume signal distribution, where institutions are exiting positions. This is precisely why William J. O'Neil insisted that **price alone is incomplete without volume**, as volume validates the strength and authenticity of any move.

The **Accumulation/Distribution Rating** brings clarity to this relationship. By grading stocks from A to E based on price-volume behavior, it offers a quick institutional sentiment check. Ratings of A or B indicate sustained buying, while D or E warn of persistent selling pressure.

Ultimately, price shows direction, volume reveals conviction, and the A/D rating converts both into a disciplined, actionable framework for identifying true market leadership.

How to Spread Purchases Over Time?

Average up, not down—buy more only after the stock has proven itself by moving higher.

In the O'Neil CAN SLIM® approach, investors don't invest all their capital at once. Instead, they build positions gradually, adding more only when the stock proves itself by moving higher.

The idea is simple: start small, then add on strength—not weakness. This helps reduce risk and ensures you are committing more capital only to stocks that are working in your favor.

How to do it,

- Start with 50% of your intended position near the proper pivot point
- If the stock rises 2–3% from your buy price, consider adding more
- Add further only if the stock continues to move higher

Avoid averaging down on losing positions. In CAN SLIM®, you never add to a stock that is falling below your buy price.

In simple terms, build your position as the stock proves you right.

Why Cutting Losses at 8% Is Important?

Past winning stocks rarely declined more than 7–8% below their ideal breakout (pivot) price.

This forms the foundation of disciplined risk management—cut losses early before they expand into larger, damaging drawdowns that can erode both capital and confidence.
If a stock falls 7–8% below your buy price, it usually signals a mistake in timing or stock selection—cutting the loss early helps protect capital, save time, and avoid emotional stress.
William J. O'Neil derived this rule from decades of studying market winners. True leaders rarely fall beyond this range. It enforces discipline over hope, protects capital, and ensures you stay in the game long enough to capture the big winning stocks that drive performance.

Another way to look into it is losses grow exponentially. A 10% decline requires an 11% gain to recover, while deeper losses demand significantly higher returns. Small losses are manageable; large losses are destructive and difficult to overcome consistently. Small losses are manageable, but large losses require significantly larger gains to recover. Protecting capital allows investors to remain in the game and take advantage of future opportunities.

MarketSmith India helps investors manage risk
by identifying proper entry points and pivot levels, with stock charts that automatically highlight **buy zones, stop-loss levels, and profit-booking areas** for better decision-making.

Why the 25% / 8% Profit-Loss Plan Works?

Most stocks typically advance 20–25% after a breakout before forming their next base.

Since only a small fraction of stocks evolve into multi-baggers, focusing on these repeatable intermediate moves allows investors to build consistency rather than rely on rare, outsized gains.

The **25% / 8% plan** is built on a clear reward-to-risk structure. By limiting downside to about 7–8% while targeting gains near 20–25%, the strategy creates a favorable 3:1 ratio. Even with several small losses, a single well-executed winner can recover prior setbacks and push the portfolio forward.

More importantly, this method supports **capital preservation and compounding**. Quick turnover and disciplined execution enable investors to recycle capital efficiently, capturing multiple controlled gains throughout the year while avoiding the damage caused by large drawdowns.

What is the 8-Week Hold Rule?

The stocks with fast, powerful moves early in their breakout phase often continue to perform well over a longer period.

Most leading stocks typically advance **20–25% from one base to another,** but a select few emerge as exceptional performers delivering outsized, life-changing returns. The **8-week rule** is designed to help investors identify and hold these rare leaders when they show powerful strength after breakout.

If a stock rises **20% or more within 3 weeks of a proper breakout**, it is showing exceptional strength. In such cases, instead of taking quick profits, investors should **hold the stock for at least 8 weeks**, as it may have the potential to become a major market winner.

Historically, many winners experienced sharp pullbacks within the first 2–6 weeks of the breakout, shaking out weak holders. **Holding for eight weeks gets you through this first selling squall and into resumed uptrend**, and then you'll have a better profit cushion. This discipline prevents premature selling and helps investors capture the true potential of major market leaders.

By holding true leaders through normal volatility, investors can **capture large multi-month or multi-year gains**, which drive the majority of long-term portfolio returns.

How Many Stocks Should You Own?

Diversification is a protection against ignorance. It makes little sense if you know what you are doing.

In growth investing, success often comes from **focus, not over-diversification**. The O'Neil approach suggests holding a concentrated portfolio of high-quality stocks rather than spreading capital too thin across many ideas.

Most successful investors typically own 6 to 8 carefully selected stocks during strong market conditions. This allows them to focus on their best ideas while still maintaining some diversification to manage risk.

Beginners may start with 4 to 5 stocks, while more experienced investors can expand to 6 to 8
positions. If you're uncomfortable or nervous with only 6 to 8 positions, then own 10. But owning 30 or 40 could
be problem. Owning too many stocks can dilute returns and make it harder to track each position effectively.

Keep things manageable. Once you own 6-8 stocks and a tempting situation comes along that you want to buy, you should muster the discipline to sell your least attractive investment.

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